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demands. They are stored in warehouses in different regional centres so that they can be distributed at the right time to the consumers.

4. Hindrance of risk of deterioration in quality

Proper packaging and modern air conditioned storage houses ensure that there is no deterioration in quality of products. Goods are protected against insects, rats, evaporation etc.

5. Hindrance of risk of loss

Fire, theft, floods and accidents may bring huge loss to the business. Insurance companies serve to cover the risk of such losses.

6. Hindrance of knowledge

Advertising and communication help in announcing the arrival of new products and their uses to the people.

7. Hindrance of exchange

Money functions as a medium of exchange and enable the buying and selling of any product or service by payment of the right price.

8. Hindrance of finance

Producers and traders may not have the required funds at the time of their need. Banks and other financial institutions provide funds and help in transfer of funds to enable the functioning of business smoothly.

9. Hindrance of developing the exact product

Research and development helps in developing the exact product or service which can satisfy the specific wants of consumers and thus improve the standard of living of the people.

10. Hindrance of both selection and delivery at doorsteps

E-Commerce enables the consumer to select the product in the website, place online orders and make payment after receiving the product at the door step.

Key Terms

Vanigam Nalangadi
Allangadi Hindrances
Barter system

Exercise

I. Choose the Correct Answer

1. The place where the goods are sold is _____
   a) Angadi
   b) Market
   c) Nalangadi
   d) Allangadi

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2. Hindrance of place is removed by _____
   a) Transport b) Warehouse
   c) Salesman d) Insurance

3. Who wrote "Arthasasthra" ?
   a) Kautilya
   b) Chanakiya
   c) Thiruvalluvar
   d) Elangovadigal